

JOSH GREEN, M.D.
GOVERNOR

SYLVIA LUKE
LT. GOVERNOR



COUNCIL ON REVENUES

STATE OF HAWAII
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September 9, 2026

The Honorable Josh Green, M.D.
Governor, State of Hawai'i
Executive Chambers
State Capitol, Fifth Floor
Honolulu, HI 96813

Dear Governor Green:

The Council on Revenues ("Council") held a meeting to forecast revenue growth for the General Fund on September 3rd, 2026. The Council raised its forecast for Fiscal Year (FY) 2027 growth rate from 1.0% to 2.5% and its forecast for FY 2028 from 1.9% to 3.0%. The growth forecast for FYs 2029 through 2032 were revised as follows: from 2.5% to 3.0% for FY 2029, from 1.8% to 1.7% for FY 2030, from 3.1% to 3.7% for FY 2031, and from 3.4% to 3.3% for FY 2032. Finally, FY 2033 forecast was set as 3.7%.

In revising its forecast figures the Council discussed slow tourism recovery, inflation effects, and historical growth trends. The current projections are below earlier trends given the economic uncertainty that may influence collections over the next several fiscal years caused by policy changes at the Federal level and the current war in the Middle East. The multi-year implementation of the individual income tax cuts was also a significant factor considered for the projection period.

The forecast for State General Fund tax revenues for FY 2027 through FY 2033 is shown in the table below.

General Fund Tax Revenues

Fiscal Year	Amount (in Thousands of Dollars)	Growth From Previous Year
2027	\$10,037,937	2.5%
2028	\$10,339,075	3.0%
2029	\$10,649,247	3.0%
2030	\$10,830,284	1.7%
2031	\$11,231,005	3.7%
2032	\$11,601,628	3.3%
2033	\$12,030,888	3.7%

The Council adopted specific adjustments recommended by the Department of Taxation to reflect effects on General Fund tax revenues due to tax law changes enacted by the 2026 Legislature, including, but not limited to, the following:

- Act 24, SLH 2026 amends the income tax brackets for tax years 2027 and 2029 by lowering the income tax rates for the second bracket from 3.2% to 2.5%, and third bracket from 5.5% to 5%, and adding a new 13% top bracket level for taxable income greater than \$500,000 (single filers), \$750,000 (head of household filers), and \$1 million (joint filers). Act 24 also amends section 235-12.5, HRS, relating to the Renewable Energy Technologies Income Tax Credit (RETITC), by requiring that credits be certified by the Hawai'i State Energy Office and establishing an annual aggregate cap of \$40 million. Additionally, effective for tax year 2027, the credit will not be available for individuals whose adjusted gross income exceeds \$175,000 and joint filers whose adjusted gross income exceeds \$350,000. The RETITC will not be available for taxable years beginning after December 31, 2029, and subsequent allowable credits will be \$0 beginning January 1, 2030. Additionally, Act 24 makes the Capital Goods Excise Tax Credit unavailable for taxable years beginning after December 31, 2027; makes the Renewable Fuels Production Tax Credit unavailable for taxable years beginning after December 31, 2028; repeals the High Technology Business Investment Tax Credit and the Tax Credit for Research Activities on January 1, 2029; and repeals the Technology Infrastructure Renovation Tax Credit on January 1, 2028. The estimated gain to the General Fund is \$145.2 million in FY 2028, \$222.7 million in FY 2029, \$233.5 million in FY 2030, \$284.7 million in FY 2031, \$297.3 million in FY 2032, and \$308.9 million in FY 2033.
- Act 185, SLH 2026 makes various amendments to section 235-17, HRS, relating to the Film Credit including aggregate cap being increased from \$50 million to \$60 million per year; sunset date extended from January 1, 2033 to January 1, 2038; a new GET exemption for reimbursements received by a "motion picture project employer" from a client company (i.e., a production company), for costs paid or incurred by the client company for reasonable employment related costs of motion picture project workers or loan-out companies. The estimated loss due to the tax credit is \$10 million per year to the General Fund while the impact of the new GET exemption is indeterminate.
- Act 205, SLH 2026 amends the Low-Income Housing Tax Credit (LIHTC), section 235-110.8, HRS, to allow a partner or member of a partnership or limited liability company that has been allocated a credit to further allocate, transfer, sell, or assign all or a portion of the credit to any taxpayer, regardless of whether the taxpayer owns a direct or indirect interest in the qualified low-income building. The transferor is required to notify DOTAX of the transfer, sale, or assignment by the twentieth day of first month following the end of the taxable year for which the credit may be claimed. Only credits issued after July 1, 2026, are eligible to be allocated, transferred, sold, or assigned, and only one transfer is allowed, i.e., the transferee cannot further allocate, transfer, sell, or assign all or a portion of the credit. The estimated loss to the General Fund is \$57.1 million in FY 2028, \$60.0 million in FY 2029, \$63.0 million in FY 2030, \$66.1 million in FY 2031, \$69.4 million in FY 2032, and \$72.9 million in FY 2033.

The Council also took into account provisions from earlier legislation, including the following:

- Act 96, SLH 2025 increases the transient accommodations tax (TAT) by 0.75% and imposes the TAT on cruise ship operators' gross rental proceeds derived from cruise fares, prorated by the ratio of days docked in any port in the State to the total number of days of the voyage. Act 96 is effective on January 1, 2026. The estimated gain to the General Fund is \$42 million in FY 2026, \$87 million in FY 2027, \$88 million in FY 2028, \$88.9 million in FY 2029, \$88.8 million in FY 2030, \$87.8 million in FY 2031, and \$89.8 million in FY 2032. However, The United States Court of Appeals for the Ninth Circuit enjoined enforcement of the portions of Act 96 that relate and apply to cruise ships in an order issued on December 31, 2025 and clarified on January 2, 2026. Therefore, DOTAX will refrain from enforcing Act 96 as it relates/applies to cruise ships.
- Act 46, SLH 2024 increases the standard deduction amounts, with amendments taking effect in tax years 2024, 2026, 2028, 2030, and 2031. The act also amends the income tax brackets by increasing the income limits in each bracket, with amendments taking effect in tax years 2025, 2027, and 2029. The estimated revenue impact takes into account the adjustment of the withholding tables on wages beginning January 1, 2025. The law became effective January 1, 2024. The estimated loss to the General Fund is \$596.6 million in FY 2026, \$740.1 million in FY 2027, \$922.7 million in FY 2028, \$1,052.6 million in FY 2029, \$1,262.3 million in FY 2030, \$1,347.5 million in FY 2031, and \$1,453.2 million in FY 2032.
- Act 47, SLH 2024 exempts medical services health care providers provide to patients who receive Medicaid, Medicare, or TRICARE benefits from the general excise tax. The exemption applies to taxable years beginning January 1, 2026. The estimated loss to the General Fund is \$33.6 million in FY 2026, \$77.5 million in FY 2027, \$81.0 million in FY 2028, \$84.5 million in FY 2029, \$88.2 million in FY 2030, \$92.1 million in FY 2031, and \$96.1 million in FY 2032.

The Department of Taxation has prepared a report (attached) detailing line-item forecasts for various components of the General Fund, reconciled to the Council's forecast growth rate for total General Fund tax revenues. The line-item forecasts include components, such as revenues from the general excise tax and the individual income tax that the Council does not forecast separately. The Department of Budget and Finance has also prepared the attached report to update its projections for change in non-tax and special tax revenues from its May 2026 report.

Please advise us if we can be of further assistance or if we can answer any questions.

Very truly yours,



KURT KAWAFUCHI
Chair, Council on Revenues